

Sentiment up a tick despite rising concerns about economy

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By [Matthew Hassan](#)

Head of Australian Macro-Forecasting, Westpac

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The Westpac–Melbourne Institute Consumer Sentiment Index edged 1.2% higher to 91.6 in March from 90.5 in February.



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- Westpac–Melbourne Institute Consumer Sentiment edged up 1.2% to 91.6.

- A more positive start deteriorated significantly over the survey week.
- Less pessimism on current finances and attitudes towards major purchases.
- More unease about economy near-term, less concern about medium-term.
- Unemployment expectations push above average, led by over-45s.
- Tension between bullish house price views and weak homebuyer sentiment.

While consumers remain firmly pessimistic, sentiment continues to show some resilience. The relatively muted negative response to the RBA's 25bp rate hike in February has been followed by a slight improvement in March. However, daily responses point to a material weakening over the course of the survey week, likely reflecting growing concerns about the escalating conflict in the Middle East. Responses from those surveyed in the last three days were consistent with an index read of just 84.

The component detail shows improvements in current conditions and medium-term expectations for the economy were partially offset by worsening expectations for the year ahead. Recall that the Index is a composite measure based on five sub-indexes: one tracking assessments of family finances compared to a year ago; two tracking expectations for family finances and the economy over the next year; one tracking expectations for the economy over the next five years; and one tracking responses to whether now is a good time to buy a major household item.

Both of the components tracking 'current conditions' posted partial recoveries from their February declines. The 'time to buy a major item' sub-index, which has been particularly sensitive to 'cost-of-living' issues, rose 4.9% in March to 98, leaving it just a touch below both the 99 posted at the start of the year and the 'neutral' level of 100 (where 'optimists' exactly balance 'pessimists'). Assessments of current finances also lifted a little, the 'family finances vs a year ago' sub-index ticking up 1.8% to 80.2.

Expectations were more mixed.

On the positive side, consumers were more constructive about the economy's medium term prospects, the 'economy, next 5 years' sub-index lifting 2.4% to 96.3, to be essentially unchanged since January and above the average historical read of 92.2. Consumers were also relatively sanguine about their near term financial outlook, the 'family finances, next 12 months' sub-index only ticking down very slightly by 0.1% to 97.6.

However, the near-term outlook for the economy is looking shakier. The 'economy, next 12 months' sub-index recorded a 2.9% fall in March, dropping to 85.9, the weakest read since September 2024 and below the long run average of 90.7.

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